EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Gonzaga, Cagayan was established as a regular municipality in 1918. It was first named as "Rumang-ay", meaning progressive, and was later renamed in honor of Graciano Gonzaga, the first Filipino Governor of Cagayan. It was found, however, that there is no record available that should show any specific law for its creation.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Gonzaga for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Gonzaga, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase/ (Decrease)
Financial Position			
Assets	715,671,410.84	610,463,883.08	105,207,527.76
Liabilities	103,710,343.31	64,338,531.01	39,371,812.30
Government Equity	611,961,067.53	546,125,352.07	65,835,715.46
Financial Performance			
Income	347,712,758.50	252,408,762.29	95,303,996.21
Expense	270,479,149.83	221,060,169.62	49,418,980.21
Appropriations, Allotments and Obligation			
Appropriations	382,529,967.47	299,793,280.00	82,736,687.47
Allotments	382,529,967.47	299,793,280.00	82,736,687.47
Obligations	263,927,497.06	230,906,515.90	33,020,981.16

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Gonzaga, Cagayan for the year ended December 31, 2022 due to: (1) failure to complete the one-time cleansing procedure of Property, Plant and Equipment amounting to P381,251,058.89 and non-submission of the Report on Physical Count of Property, Plant and Equipment; (2) understatement of Accumulated Depreciation of various Property, Plant and Equipment accounts totaling to P29,464,370.38; and (3) improper recording of RPT/SET Receivables amounting to P1,522,025.98 and P1,902,532.47, respectively.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The accuracy and reliability of the reported balance of Property, Plant and Equipment account amounting to P381,251,058.89 as at December 31, 2022 cannot be determined due to failure of the LGU to complete the conduct of the one-time cleansing procedure, contrary to COA Circular No. 2020-006 dated January 31, 2020 and Section 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the financial statements.

   We recommended that the Management, thru the Local Chief Executive, require the Inventory Committee to complete the one-time cleansing procedure and submit a duly accomplished RCPPE and all the necessary supporting documents pursuant to COA Circular No. 2020-006 dated January 31, 2020, to determine compliance of the one-time cleansing of PPE accounts.

2. The total Accumulated Depreciation of various Property, Plant and Equipment accounts as at December 31, 2022 were understated by P29,464,370.38, thus, affecting the fair presentation of the Financial Statements.

   We recommended that the Management, thru the Municipal Accountant, draw the necessary adjusting journal entries to correct the noted discrepancies and recompute the provision of Depreciation Expenses and Accumulated Depreciation at year-end to ensure the reliability and correctness of the said accounts.

3. The amounts set up as Real Property Tax and Special Education Tax Receivables of P1,522,025.98 and P1,902,532.47, respectively, at the end of the year were not based on the Real Property Tax Account Register/ Taxpayer's index card, contrary to Section 246 of the Republic Act No. 7160 and Section 20 of the Manual on the New Government Accounting System, Volume I, thus,

the accuracy, validity and reliability of the affected accounts could not be ascertained.

We recommended that the Municipal Mayor require:

a. The Municipal Treasurer, in coordination with the Municipal Assessor, to prepare and furnish the Municipal Accountant a duly certified list of taxpayers showing the names and the amounts due and collectible based on the updated Real Property Tax Account Register/Taxpayer's Index Card to provide an accurate and reliable basis in setting up the Receivables from RPT and SET;

b. The Municipal Accountant to draw a Journal Entry Voucher to record the RPT/SET Receivables established at the beginning of the year based on the submitted duly certified list of taxpayers with the amount due and collectible for the year and maintain the corresponding subsidiary ledgers to monitor tax collections and delinquencies; and

c. The Municipal Assessor to undertake thorough review of the assessments of real properties within the Municipality for taxation so that the Accounting Department could take up a more realistic RPT/SET Receivables in the books of accounts.

4. Several programs, projects and activities under the 20% Development Fund totaling to P40,419,573.56 or 59% of its total appropriation were not fully implemented as of December 31, 2022, contrary to DBM-DOF-DILG Joint Memorandum Circular No. 2020-1 dated November 4, 2020, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.

   We recommended that the Management fast track the completion of all ongoing and unimplemented projects funded under the 20% Development Fund to optimize utilization thereof and timely bring the desired benefits to the intended beneficiaries.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-		-	-	-
Total	-	-	-	-	-

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Disallowances	-				
Prior Years	114,343.96	-	8,000.00	106,343.96	7%
Current Year	-	-	-	-	-
Total	**114,343.96**	**-**	**8,000.00**	**106,343.96**	**-**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	**-**	**-**	-	-

F. Status of Implementation of Prior Year's Audit Recommendations

Out of fourteen (14) audit recommendations embodied in the CY 2021 Annual Audit Report, nine (9) were fully implemented, one (1) was partially implemented and four (4) were not implemented.